



February 18, 2025

Senator Barry Usher
Chair, Judiciary Committee
6900 S Frontage Road
Billings, MT 59101

Senator Andrea Olsen
Vice Chair, Judiciary Committee
622 Rollins Street
Missoula, MT 59801

Senator Vince Ricci
Vice Chair, Judiciary Committee
3109 Forbes Boulevard
Billings, MT 59106

Senator Daniel Zolnikov
Majority Whip
PO Box 50403
Billings, MT 59105

RE: Letter in Opposition to Montana SB 297

Dear Chair Usher, Vice Chair Olsen, Vice Chair Ricci, and Senator Zolnikov:

On behalf of the responsible digital advertising industry, we oppose Montana SB 297.¹ We write to express our concerns with the proposed legislation and provide a non-exhaustive list of those concerns below. Instead of proceeding with amendments to the Montana Consumer Data Privacy Act (“MTCDPA”) that would diverge from the approach to privacy across several states, we ask the Committee to harmonize its approach to consumer data protections with other state privacy laws. We therefore respectfully ask you to decline to advance the bill through the Judiciary Committee (“Committee”) as presently drafted.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, publishers, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls.

I. The Bill Diverges from Most Existing Privacy Laws by Making the Law Applicable to Most Nonprofit Organizations

SB 297 would limit the scope of the MTCDPA’s existing nonprofit exemption to only those nonprofits that are established to detect and prevent fraudulent acts in connection with insurance.³ This update to MTCDPA would narrow the nonprofit exemption in current law and deviate from

¹ Montana SB 297 (Reg. Sess. 2025), located [here](#).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

³ SB 297, § 30-14-2804(1)(b).

most states with consumer privacy laws that include an unqualified exemption for all nonprofit organizations.⁴

The proposed bill would create significant confusion and new requirements for many nonprofit organizations, posing substantial compliance challenges for nonprofits that operate in multiple jurisdictions. These nonprofit organizations often depend on personal data to fulfill their missions, such as managing donor and volunteer information and serving nonprofit members or program participants. The task of implementing new privacy law requirements can divert critical resources away from nonprofits' primary missions and towards compliance efforts, particularly affecting smaller nonprofits with limited capacity. Consequently, maintaining the broader and more inclusive nonprofit exemption in current law is necessary to support the essential work of nonprofits while still ensuring the protection of personal data.

II. The Bill Would Narrow MTCDPA's Cure Period, Limiting Controllers' Opportunity to Bring Practices in Line with Legal Requirements

SB 297 sets forth a 30-day cure period for Montana Attorney General enforcement actions.⁵ We are pleased that the Committee is considering removing the sunset provision from this bill, allowing businesses to address alleged privacy violations beyond April 1, 2026,⁶ but the 60-day cure period should be retained. The 30-day change cuts the time allowed for controllers to rectify alleged violations to half of what is currently permitted in MTCDPA.

In addition, the bill adds requirements related to the express written statement that a controller correcting an alleged violation must provide to the Montana Attorney General. Specifically, the bill adds that the statement required of controllers must state the controller has notified the consumer that the privacy violation was addressed, if the consumer's contact information has been made available to the controller.⁷ This notice requirement adds an administrative burden for controllers, who already need to take swift action to update their practices promptly to cure alleged violations. We ask the Committee to remove this consumer notice provision related to cures of alleged violations from the bill.

* * *

⁴ See, e.g., Nebraska LB 1074 § 3(2)(d); Tenn. Code Ann. § 47-18-3210 (a)(5).

⁵ SB 297, § 30-14-2817(4).

⁶ *Id.* at § 30-14-2817(6).

⁷ *Id.* at § 30-14-2817(4)(c)(ii).



We and our members support protecting consumer privacy. We believe, however, that SB 297 would impose additional and unnecessary requirements on entities doing business in the state and that these updates to existing Montana law would have unintended consequences detrimental to both business and consumers alike. We ask you to decline to advance SB 297 as presently drafted. We would welcome a meeting with you to further explain our concerns with the proposed legislation.

Thank you for your consideration of this letter.

Sincerely,

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